Development of Pure Economic Loss

English law | Study guide | From Anns to Murphy

1. The problem: damage or a defective bargain?

A financial loss is not automatically *pure economic loss*. Lost earnings after an actionable personal injury, or lost profit caused by damage to the claimant's property, may be consequential economic loss. Pure economic loss concerns financial interests without that foundation in actionable injury or property damage.

Defective buildings raise a harder question. A house may develop visible cracks because its foundations were badly designed. Does the owner claim for damage caused to property, or for the cost of obtaining the sound building that should have been supplied?

> The central distinction: correcting a defect in the building itself is generally pure economic loss under ordinary negligence principles. Injury to a person or damage to other property raises a different question.

2. The historical route

Anns v Merton London Borough Council [1978] AC 728, decided in 1977, took an expansive approach to a council's potential duty concerning unsafe buildings. **Murphy v Brentwood District Council [1991] 1 AC 398**, decided in 1990, overruled Anns and classified the relevant building loss as purely economic.

3. Vocabulary for this lesson

Duty of care: a legal obligation to take reasonable care towards another. **Defect:** an inadequacy in design, construction or quality. **Diminution in value:** the reduction in an asset's market value. **Overrule:** a later court rejects an earlier legal rule as authoritative.

Scope: negligence in the law of England and Wales. This guide distinguishes historical reasoning from the present starting point; it is not a universal rule for every legal system.

Anns v Merton

1. Facts and claim

Long leaseholders occupied flats in a block built with allegedly inadequate foundations. Cracks and sloping floors later appeared. They alleged that the council had negligently approved the foundations and/or failed properly to inspect them under its building-control powers.

The action against the council was a **common-law negligence claim** arising in a statutory setting. It should not simply be described as a successful claim for breach of statutory duty.

2. Lord Wilberforce's historical two-stage approach

Stage 1: was the relationship sufficiently close, with reasonably foreseeable harm, to give rise to a prima facie duty? **Stage 2:** were there considerations that should exclude or restrict the duty, the persons protected or the damages recoverable?

In the building context, Anns contemplated a duty linked to the health and safety of owners and occupiers. Its reasoning treated the relevant deterioration as material physical damage and contemplated expenditure to make the dwelling safe, rather than a general guarantee of perfect quality.

3. Who won, and what was actually decided?

The council's appeal was dismissed. The leaseholders succeeded on the preliminary legal issues: their case was not defeated at this stage by the absence of a possible duty or by the limitation argument. This was not a final finding that the council had committed every alleged error, nor a final award of repair costs. Facts, breach and the eventual measure of damages still required determination.

> Historical importance: Anns opened a route towards recovering expenditure associated with dangerous building defects. Murphy later rejected that route. Do not present the Anns test as today's general English test.

Citation: Anns v Merton London Borough Council [1978] AC 728, especially pp 751-752 and 759-760. Judgment: 12 May 1977; report year: 1978.

Murphy v Brentwood

1. Facts and the result

Mr Murphy bought a house whose concrete raft foundation was defectively designed. The design had been approved through the council's building-control process. Settlement caused cracking and other defects. He eventually sold the house for £30,000; its agreed value without the defects was £65,000. The £35,000 difference represented lost value, not a repair invoice.

Murphy succeeded in the lower courts. In the House of Lords, however, **the council's appeal was allowed and his negligence claim against it failed**. The House expressly overruled Anns.

2. Why was the loss purely economic?

The relevant complaint was that the house itself had been supplied with an inherent structural defect. The cost of correcting that defect, or the loss in value attributable to it, concerned the quality of the acquired asset. The building's foundations and superstructure could not simply be separated into different property to turn the defective structure into damage to "other property".

There really were cracks. The decision does **not** mean that nothing physically changed. It means that deterioration of this defective building did not turn the claim for its own inadequacy into ordinary recoverable property damage. Nor did danger to occupants, by itself, make the repair cost recoverable from the council.

3. What Murphy does not rule out

An actionable injury or damage to genuinely other property may support a different negligence claim, subject to duty, breach and causation. Contractual rights, specific statutory rights and duties based on an assumption of responsibility may also matter. They must be established separately; building approval is not an automatic warranty.

> Invented comparison: correcting faulty foundations in the house itself → generally pure economic loss. A wall collapses onto a separately owned car → damage to other property; a negligence claim may be available.

Murphy v Brentwood District Council [1991] 1 AC 398. Judgment: 26 July 1990. This guide focuses on the structural-defect claim, not every subsidiary item claimed.

Check Your Understanding

1. Is every claim expressed in money pure economic loss?
Answer: No. Compensation for property damage and earnings lost through actionable injury is also paid in money. Identify the underlying interest harmed.

2. Did the leaseholders receive a final damages award in Anns?
Answer: No. They succeeded on preliminary legal issues; factual liability and damages were not finally established by that decision.

3. Why did Murphy lose despite visible cracks?
Answer: The relevant loss concerned the defective house itself: its inadequate quality and reduced value. Cracks did not automatically make this damage to other property.

4. Does a dangerous defect automatically create a claim for repairs?
Answer: No. Danger alone did not supply the duty to protect the owner from that economic loss in Murphy.

5. Does Murphy mean no remedy can ever exist?
Answer: No. Check distinct contractual, statutory or assumption-of-responsibility routes, and distinguish injury or damage to other property.

6. Should we apply Anns as the current universal duty test?
Answer: No. It was overruled. Robinson [2018] UKSC 4 stresses established principles and precedent, with incremental reasoning for genuinely novel duties.

> Exam method: identify each loss → distinguish defect in the thing itself from injury/other property → identify a duty covering that loss → consider breach, causation and the remaining requirements. Foreseeability alone is not enough.

Sources and further reading

Adapted from the supplied lesson transcript; case names and oversimplifications corrected. Primary authorities: Anns [1978] AC 728; Murphy [1991] 1 AC 398 (judgment); Robinson [2018] UKSC 4, paras 21-30. For the economic-loss exception, see Hedley Byrne & Co Ltd v Heller & Partners Ltd [1964] AC 465. The examples are invented teaching illustrations.